9.9.7. Merits of Direct Taxes

1.Equity

Direct taxes are progressive i.e. rate of tax varies according to tax base. For example, income tax satisfies the canon of equity.

2.Certainty

Canon of certainty can be ensured by direct taxes. For example, an income tax payer knows when and at what rate he has to pay income tax.

3. Elasticity:

Direct taxes also satisfy the canon of elasticity. Income tax is income elastic in nature. As income level increases, the tax revenue to the Government also increases automatically.

4. Economy

The cost of collection of direct taxes is relatively low. The tax payers pay the tax directly to the state.

9.9.8. Demerits of Direct Taxes

1.Unpopular

Direct taxes are generally unpopular. It is inconvenient and less flexible.

2. Productivity affected

According to many economists direct tax may adversely affect productivity. Citizens are not willing to earn more income because in that case they have to pay more taxes.

3. Inconvenient

The tax payers find it inconvenient to maintain accounts, submit returns and pay tax in lump sum.

4. Tax Evasion

The burden of direct tax is so heavy that tax-payers always try to evade taxes. This ultimately leads to the generation of black money, which is harmful to the economy.

9.9.9. Indirect Tax

Indirect Tax is referred to as a tax charged on a person who purchases the goods and services and it is paid indirectly to the government. The burden of tax can be easily shifted to the another person. It is levied on all persons equally whether rich or poor.

There are several types of Indirect Taxes, such as:

Excise Duty: Payable by the manufacturer who shifts the tax burden to retailers and wholesalers.

Sales Tax: Paid by a shopkeeper or retailer, who then shifts the tax burden to customers by charging sales tax on goods and services.

Custom Duty: Import duties levied on goods from outside the country, ultimately paid for by consumers and retailers.

Entertainment Tax: Liability is on the cinema theatre owners, who transfer the burden to cinema goers.

12-Economics-Chapter_9.indd 186 23-12-2022 14:45:24